

wondered why. Nikhil explained the taxation benefit that debt mutual funds, i.e. mutual funds that invest in bonds issued by the government and by corporates, enjoy over all other bonds and fixed deposits.

While debt mutual funds are subject to long-term capital gains taxation of 20 per cent with indexation (long term is taken as three years), returns from fixed deposits and bonds are taxed fully at the income tax rate. Given the way indexation works, the mutual fund's effective tax rate works out to anywhere between 5 per cent and 15 per cent. Thus, if a bond and a fixed deposit both give 9 per cent pre-tax returns, an investor may get only a 6.3 per cent post-tax return with the fixed deposit. The same investor with the same 9 per cent pre-tax return can get 8.1 per cent in a mutual fund (because of what amounts to 10 per cent capital gains taxation). In other words, the investor ends up getting approximately 30 per cent more on a post-tax basis if he takes the debt fund route.

That said, Nikhil mentioned that investors need high-quality advice in order to be able to choose the right debt funds. Given the role of debt in a portfolio, the safety of capital should not be compromised for a few basis points of extra returns. Mr Talwar had heard from his friends about some debt funds which gave industry-beating returns. Nikhil then explained to him the fallacy in rewarding 'performance' in a debt fund.

A debt mutual fund's return is a function of:

1. Yield to Maturity (YTM),
2. Mark to Market (MTM),
3. Expense Ratio.

In its most simplistic form,

Debt Mutual Fund's Return = YTM + MTM - Expense

Mark to Market (MTM) is the return that a fund manager generates as a result of appreciation in bond prices (remember that a debt mutual fund is a collection of government and corporate bonds). This change in bond prices is in turn a function of the movement in interest rates⁴ (yields to be more